Chapter Review

Review Questions

1. What is the primary difference between FDI and FPI?
2. Why does the resource-based view suggest that the key word of FDI is direct?
3. How does horizontal FDI compare to vertical FDI?
4. How does internationalization help combat market imperfections and failures?
5. Briefly summarize each of the three OLI advantages.
6. Discuss the pros and cons of FDI versus licensing.
7. Identify your own example of agglomeration that demonstrates your understanding of the concept.
8. Compare and contrast the three political views of FDI.
9. Describe two benefits and two costs to a host country of FDI and to a home country of FDI.
10. Given that outsourcing is a viable alternative to FDI, what issues should be considered before a firm decides between the two?
11. *ON CULTURE:* Many people in the United States are opposed to both outsourcing and FDI. Would it be easier to get such people to accept one of these alternatives, and if so, which one? Why or why not?
12. Why do some countries object to inbound FDI?
13. In the United States, many states and cities deliberately seek investment in their states and communities by firms from other parts of the country. Why are some of those who seek investment from elsewhere in the US worried about investment from overseas?
14. What issues should a savvy manager consider when evaluating a particular location for FDI?

15. Some Americans feel that US-based firms should not undertake FDI in other countries because it results in expanding business opportunities in those countries and does not benefit the United States. How may the data on PengAtlas Map 2.3 be used to refute that view?

16. Consider PengAtlas Map 2.3 showing US FDI, and then look at PengAtlas Maps 2.1 and 2.2. Given the possibility that some US imports are from operations in which US firms have made FDI, how does that affect your view of the US trade deficit? Does it make the deficit seem like less of a problem or greater? Explain your answer.

17. In Questions 12, 13, and 15, we have noted controversies regarding FDI in terms of both inflows and outflows. Regarding PengAtlas Map 2.3, public concern about FDI often focuses on the FDI of US-based companies, and some argue that investment going overseas may otherwise have occurred within the US.

18. However, the map also shows that the US is a major recipient of such investment from overseas—but some who oppose FDI outflows also oppose FDI inflows. They fear that the United States is losing control over its economy as a result of such inflows. Do you think the two views are compatible? Why or why not?